IN THE NATIONAL COMPANY LAW TRIBUNAL: NEW DELHI
COURT – IV

ITEM No. 501
CP(CAA)57/ND/2022

IN THE MATTER OF:

Span Fashions Limited ... Applicant
And
Prima Associates Private Limited

Order under Section 230-232 of Companies Act, 2013.

Order pronounced on 04.07.2023

Coram:
MR. MAHENDRA KHANDELWAL,
HON'BLE MEMBER (JUDICIAL)
DR. BINOD KUMAR SINHA,
HON'BLE MEMBER (TECHNICAL)

PRESENT:
For the Applicant :
For the Respondent :

ORDER

The case is fixed for pronouncement of order.

The order is pronounced in Open Court vide separate sheets.

CP(CAA)/57/ND/2022 stands allowed.

Sd/-

DR. BINOD KUMAR SINHA
MEMBER (TECHNICAL)

Sd/-

MAHENDRA KHANDELWAL
MEMBER (JUDICIAL)

IN THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH
COURT-IV
COMPANY PETITION NO. (CAA) 57 (ND)/2022
CONNECTED WITH
COMPANY APPLICATION NO. (CAA) 34 (ND)/2022

IN THE MATTER OF:

Section 230-232 of the Companies Act, 2013 read along with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

IN THE MATTER OF:

SPAN FASHIONS LIMITED

...PETITIONER COMPANY NO. 1/TRANSFEROR COMPANY

WITH

PRIMA ASSOCIATES PRIVATE LIMITED

...PETITIONER COMPANY NO. 2/TRANSFEREE COMPANY

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Order Delivered on: 04.07.2023

CORAM:
SHRI MAHENDRA KHANDELWAL, HON'BLE MEMBER (JUDICIAL)
DR. BINOD KUMAR SINHA, HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Applicant	: Mr. Sushil Aggarwal, Adv.
For the OL	: Ms. Hemlata Rawat, Mr. Aayushmaan Vatsyayana Advs.
For the RD	: Ms. Shankari Mishra, Adv.

ORDER

PER: MAHENDRA KHANDELWAL, HON'BLE MEMBER (JUDICIAL)

1. This petition has been jointly filed by the petitioner companies herein M/s Span Fashions Limited (Petitioner Company 1/Transferor Company) and M/s Prima Associates Private Limited (Petitioner Company 2/Transferee Company) and their respective shareholders

and creditors under section 230-232 of the Companies Act, 2013, read with rule 3 and 18 of the Companies (Compromises, Arrangements, Amalgamations) Rules, 2016, ("Rules") and the National Company Law Tribunal Rules, 2016, for the purpose of the Sanction of the proposed Scheme of Amalgamation of the Transferor Company with Transferee Company. The copy of the Scheme of Amalgamation (hereinafter referred as the "Scheme"), has been placed on record.

2. The Transferor Company/Petitioner Company No. 1 i.e., M/s Span Fashions Limited was incorporated on 21.02.1985 under the provisions of the Companies Act, 1956 bearing CIN: U74899DL1985PLC020214 having its registered office at 24, Jor Bagh, New Delhi-110003. Thus, this Tribunal is having territorial jurisdiction. The Authorized Share Capital of the Transferor Company is Rs. 25,00,000/- divided into 2500 Equity Shares of Rs. 1000/- each. The Issued, Subscribed and Paid-up Share Capital is Rs. 20,00,000 divided into 2000 Equity Shares of Rs. 1000/- each and is engaged in the business of manufacture, buy, sale, import and or otherwise deals in all kind of readymade garments, handicraft, fabric and artificial jewelry.

3. The Transferee Company/Petitioner Company No. 2 i.e., Prima Associates Private Limited was incorporated on 08.05.1984 under the provisions of the Companies Act, 1956 bearing CIN: U74899DL1984PTC018111 having its registered office at 24, Jor Bagh, New Delhi-110003. Thus, this Tribunal is having territorial jurisdiction. The Authorized Share Capital of Transferee Company is Rs. 2,00,000/-

divided into 20,000 Equity Shares of Rs. 100/-. The Issued, Subscribed and Paid-up Share Capital of the Transferee Company Rs. 15,73,000/- divided into 15,730 Equity Shares of Rs. 100/- each and is engaged in the business of providing consultancy services in private or public enterprises, whether engaged in activities of a commercial or industrial nature, in the fields of business management practices, including research and development, marketing, sales, finance and personnel management and to export or import and to buy, sell or otherwise deal in goods and services of any nature and also business of manufacture, buy, sale, import and or otherwise deals in all kind of readymade garments etc.

4. The Petitioner Companies submit that the proposed scheme of amalgamation of the Transferor Company and Transferee Company would have the following benefits: -

   i. The Transferor and Transferee Company belongs to the same group and proposing to strengthen its Indian business operations by consolidating the said entities by way of an amalgamation.

   ii. Streamline the holding structure of the Companies and to ensure focused management in a single combined entity.

   iii. Efficiently and optimally utilize cash resources of all the companies under a single combined entity.

   iv. Facilitate administrative and compliance convenience and reduce overhead, operative and administrative costs and consequently improve profitability; and

v. Combining the net worth Transferor and Transferee Company for better credit standing.

5. The appointed date as fixed for the proposed scheme of Amalgamation is 1 April, 2021 or such other date as may be directed by the National Company Law Tribunal. The Tribunal prescribes 01.04.2022 as the appointed date for the proposed scheme of amalgamation.

6. From the records, it is seen that the First Motion joint application was filed before this Tribunal vide CA(CAA)34 (ND)OF2022. Vide order dated 04.05.2022, the meeting of equity shareholders of the Transferor Company and Transferee Company was dispensed with. The Transferor Company and the Transferee Company did not have any Secured and Unsecured Creditors, therefore the requirement for convening the meeting did not rise.

7. Vide Order dated 19.05.2022, the Petitioner Companies were directed to carry out publication in the newspapers and to serve notices to the Regional Director (Northern Region), Ministry of Corporate Affairs, Registrar of Companies, NCT of Delhi & Haryana, Ministry of Corporate Affair, Income Tax Department and the Official Liquidator. It is seen from the record that the petitioners have filed an Affidavit dated 02.07.2022 affirming compliance and disclosing that the petitioners have affected publication in "Business Standard" (Hindi and English) dated on 10.06.2022. In addition to the public notice, notices were served on the Regional Director (Northern Region), Ministry of Corporate Affairs, Registrar of Companies, NCT of Delhi & Haryana,

Ministry of Corporate Affair, Income Tax Department and the Official Liquidator.

8. Pursuant to the notice issued to the Regional Director, Income Tax Department and Official Liquidator, they have filed their response/reply in the matter.

9. The Regional Director (RD) in its affidavit dated 16.09.2022 has made certain observations with regard to the proposed scheme of Amalgamation among the Petitioner Companies. In response thereto the Petitioner Companies had filed reply dated 09.09.2022 wherein the Petitioner Companies have given clarification to address the observations made by the Regional Director. The details of which are given below:

Observation	Observation of the Regional Director vide affidavit dated 16.09.2022	Reply of the Petitioner Companies vide dated 09.09.2022
1.	Refer to clause 14 of the scheme, the Transferee company may kindly be directed to comply with the provisions of section 232(3)(i) of the Companies Act, 2013 to fee payable on its revised authorized share capital, if applicable.	The Transferee Company has already complied with clause 14 of the scheme and has accordingly revised its authorized share capital from existing INR 2,000,000 to INR 25,000,000 by filing form SH-7 with ROC vide SRN F04824538 and same has been approved.
2.	For Transferee Company, one Alphana Gujral was appointed as Additional Director w.e.f. 07/2019 and ceased to be on the Board w.e.f. AGM date of 2019 u/s 161 of the Companies Act, 2013. No DIR-12 for regularization/cessation found on MCA 21. However, she is being shown as a director on the Board of Transferor Company in the Petition.	We had already filed form DIR 12 vide SRN F24324709 for change in designation of Ms. Alpana Gujral as a Director of the Company and in this regard copy of challan is attached along with the letter for your reference.
3.	The Transferor Company has disclosed that for the last two financial years, the entire revenue consists of Rental Income and Interest received on Investments. The company has Zero operating revenue and appears to be Dormant. However, no application u/s 455 of the Companies Act, 2013 is filed in this regard.	In this connection, during these years the company was exploring new activities in order to generate income from operations apart from rental and Internet income and since the Transferor Company has planned to merge with another company further the Transferor Company has regular financial transactions during all these years including banking transactions etc. therefore the company is not a dormant company. Accordingly, no application u/s 455 of the Companies Act, 2013 is initiated by the Transferor Company as merger with another company will result in revival on the basis of creation of new entity.
4.	The Transferee Company has also disclosed in its financials, the entire revenue consists of Rental Income and Bank Interest only and nil operating revenue and appears to be Dormant. However, no application u/s 455 of the Companies Act, 2013 is filed in this regard.	

10. The reply of the Petitioner Companies were considered by the Regional Director (RD). In daily order dated 21.03.2023 passed by this

Tribunal, it was noted that the proxy counsel on behalf of Regional Director (Northern) Region), stated that they had no objection in allowing the prayers made in the application and proxy counsel for the Official Liquidator also submitted that they have no objection in allowing the prayers made in the application.

11. The Income Tax Authorities namely Assistant Commissioner of Income Tax, circle-22(2) and-Income Tax Officer, Ward-20(1) vide their reports dated 09.06.2022 and 26.07.2022 stated that as per income tax data base, there is NIL outstanding demand pending and therefore, has no objection to the proposed scheme of amalgamation.

12. Considering the reply of the petitioner companies and further, the undertaking of the Petitioner Companies with respect to the observations and clarifications, we find no impediment in approving the present scheme of amalgamation.

13. In this petition, in terms of section 230(2) of the Companies Act, 2013, it has also been affirmed that no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under provisions of Companies Act, 1956 is pending against the Petitioner Companies.

14. Certificates of Statutory auditor of the petitioner companies, has been placed on record to the effect that Accounting Treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013 read with Rule 7

of the Companies Accounts Rules, 2014 and Companies (Accounting Standards) Amendment Rules, 2016, and other generally accepted accounting principles in accordance with the Companies Act, 2013, as applicable.

15. The shareholders of the petitioner companies are the best judges of their interest, being fully conversant with market trends. Therefore, their decision should not ordinarily be interfered with by the Tribunal for the reason that it is not proper on the part of the judicial function of the Tribunal to examine and evaluate entrepreneurial activities and their commercial decisions. It is well settled that the Tribunal evaluating the Scheme, of which sanction is sought under Section 230-232 of the Companies Act of 2013, will do not ordinarily go into the merits of the corporate decisions of companies as approved by shareholders and creditors.

16. It has also been affirmed in the petition that the Scheme is in the interest of all the Petitioner Companies including their shareholders, creditors, employees and all concerned. In view of the foregoing, upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, there appears to be no impediment in sanctioning the present Scheme.

17. Consequently, sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013 with the following directions: -

(i) The Petitioners shall always remain bound to comply with the statutory requirements in accordance with law.

(ii) Notwithstanding the sanction, if there is any deficiency found or, violation committed, qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken in accordance with the law, against the concerned persons, directors and officials of the petitioners.

(iii) While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

18. This tribunal further directs with respect to all the Transferor Company and the Transferee company, that:

(i) Upon the sanction becoming effective from the appointed date i.e., 01.04.2022, the Transferor Company shall stand dissolved without undergoing the process of winding up.

(ii) All contracts of the Transferor Company, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favour of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Company, the Transferee Company had been a party or beneficiary or obliged thereto;

(iii) All the employees of the Transferor Company shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favorable than those on which they are engaged by the Transferor Company, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(iv) All liabilities of the Transferor Company, shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Companies Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

(v) All proceedings now pending by or against the Transferor Companies be continued by or against the Transferee Company.

(vi) Any person interested or affected shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

19. Further, the Petitioner Companies shall within thirty days of the date of the receipt of this order, cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferor companies shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Company on the file kept by him in relation

to the Transferee Company and the files relating to all the Petitioner Companies shall be consolidated accordingly.

20. In compliance with the requirement of Section 232 (7) of the Act, the transferee company shall until the full implementation of the Scheme of Amalgamation shall file a statement every year in the Form CAA 8 along with the required fees with the Registrar of Companies as prescribed in the Companies (Registration offices and fees) Rules 2014 within 210 days from the end of each financial year.

21. The petition stands disposed of in the above terms.

Let copy of the order be served to the parties.

Sd/-

(DR. BINOD KUMAR SINHA)
MEMBER (TECHNICAL)

Sd/-

(SH. MAHENDRA KHANDELWAL)
MEMBER (JUDICIAL)